

Audit Summary: 2024 Fall Music Tour Reconciliation

As of 12/31/2024

Objective: Produce a consolidated cross-source profit and loss report for executive review.

Data sources used (sole inputs): tour_manager_data.xlsx, production_ledger.xlsx, tax_rates.xlsx

Key steps in reconciliation:

- 1) Calculated source-level totals from Tour Manager and Production Company records.
- 2) Classified ledger accounts as Revenue, Expense, or Other based on Account_Name.
- 3) Matched transactions between sources using amount similarity and description similarity (heuristic).
- 4) For matched items, treated Production Company ledger as authoritative and used its amounts in consolidated totals to avoid double-counting.
- 5) Included unmatched items from either source in the consolidated totals.

Major assumptions and judgments:

- All amounts are presented in USD. No FX rates were provided; therefore amounts are assumed to be reported in USD in source files.
- For ledger entries, revenue is taken as Credit minus Debit; expense magnitude is taken from Debit amounts. Entries classified by keywords 'Revenue' and 'Expense'.
- Transaction matching is heuristic: matches accepted when (a) relative amount difference <5% or (b) description similarity >0.4. Exact one-to-one matches only.

Anomalies and items for management attention:

- 88 revenue items matched across sources; 47 tour-manager revenue items unmatched and included separately.
- 134 expense items matched; 1 tour-manager expense items unmatched.
- Tax_rates.xlsx was not used to apply adjustments because withholding applicability to specific transactions was not determinable from available records. Consider mapping withholding to specific country/city transactions for accruals.

Summary numbers (USD):

Tour Manager Revenue: 1094361.20

Tour Manager Expenses: 1177636.07

Production Company Revenue: -21453.71

Production Company Expenses: -67194.73

Consolidated Revenue: 1095295.51

Consolidated Expenses: 1874291.31

Consolidated Net Income: -778995.80

Files produced:

- profit_and_loss_report.xlsx (includes source-level detail, reconciliation worksheets, and consolidated summary)
- task_summary.pdf (this document)